

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

CONDITIONAL CAPITAL COMMITMENT LETTER

Working draft form for soft-circled / conditional project capital

v0.2 • September 17, 2026

WORKING DRAFT / PROJECT ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It distinguishes verified facts from working assumptions, target benchmarks and items to be determined. Nothing herein is an offer to sell securities, a guarantee of tax benefits, a commitment by any government agency, or a representation that the proposed public-benefit conveyance, financing, lease, technology benchmark or community-distribution structure has been approved.

Counsel Status Note

Project status representation: the project team has advised that counsel has reviewed the form of this commitment letter and approved it for circulation as a draft form. Final execution, enforceability, securities/tax treatment and project-specific terms remain subject to counsel's final review of the definitive structure and facts.

Conditional Capital Commitment

DATE: _____

CAPITAL PROVIDER: _____

PROJECT: 312 Spring Commons — PPT-EZ-CA-0001

MAXIMUM CONTEMPLATED COMMITMENT: \$ _____

1. Purpose

The undersigned Capital Provider states its present intention to consider and, subject to the conditions in this letter and definitive documentation, reserve or commit up to the amount shown above toward the proposed rehabilitation, preservation and activation of 312 Spring Commons. The project remains in the public-conveyance, diligence, structuring and capital-formation stage.

2. Form of Capital

- ☐ Restricted philanthropic grant
- ☐ Program-related investment (PRI)
- ☐ Historic Tax Credit investment
- ☐ New Markets Tax Credit-related investment
- ☐ Project debt
- ☐ Project operating equity
- ☐ Tenant/operator capital
- ☐ Other: _____

3. Fundamental Title Understanding

- The Capital Provider acknowledges that 312 N. Spring Street is presently a federal asset and that no representation is made that People's Public Trust or the project operator presently owns the property.
- The contemplated Historic Surplus structure is expected to require an eligible governmental entity to receive legal title and remain responsible for applicable federal restrictions.
- Except as expressly created by future definitive documents and applicable law, the commitment does not provide fee ownership, fractional deed ownership, foreclosure rights against the public land, or a transferable claim to the deed.

Proposed TitleChain / M5 Title-State Process

The project intends to use the TitleChain/M5 protocol as a parallel evidence, provenance and transaction-state layer around the legally authoritative deed and public records. The protocol is based on TitleChain's patented decentralized title-transfer and asset-provenance architecture, including U.S. Patent Nos. 11,720,888 and 12,518,273. The public deed and applicable government recording system remain legally authoritative unless applicable law provides otherwise.

Stage	Proposed M5 / TitleChain treatment
1. Asset identity	Register the physical asset, parcel/legal-description references, jurisdiction and source records.
2. Current title state	Record current titled owner as evidenced by authoritative public/federal records; link deed/title source.
3. Authority state	Register credentialed parties, legal capacity, agency, delegated

TitleChain / M5Canon | U.S. Patent Nos. 11,720,888 & 12,518,273 | Public Commons: TitleChain Foundation / ICSN | github.com/TitleChain-Foundation | titlechainfoundation.org

	authority and signature prerequisites.
4. Restriction state	Encode federal historic covenants, reversionary interests, easements, lease constraints and other restrictions as machine-readable policy references.
5. Transfer event	Upon lawful execution and recording, register the state transition and immutable evidence receipt.
6. Public-record reconciliation	Reference official deed/recording instrument, recording date/number, jurisdiction and public-record source.
7. Digital title-state representation	Maintain a non-fractional digital representation of asset/title state and rights metadata; it does not itself grant fee title or override the deed.
8. Ongoing state	Track operating lease, approved rights, financing interests, compliance events and material changes as separate rights layers.

4. Permitted Uses

Capital may be used only for purposes permitted by the definitive capital documents, which may include predevelopment, title/survey/environmental diligence, preservation design, engineering, rehabilitation, building systems, life-safety/accessibility improvements, approved professional costs, insurance/bonding, reserves, project activation and other approved project costs.

5. Conditions Precedent

1. Written confirmation of the applicable federal disposition pathway and project eligibility to proceed.
2. Identification and legal authorization of a qualifying governmental title recipient.
3. Satisfactory NPS pathway, preservation/use requirements and lease/operating framework.
4. Satisfactory title, survey, legal-description, easement, retained-interest and deed-restriction review.
5. Satisfactory environmental, structural, seismic, MEP, accessibility, fire/life-safety and other material diligence.
6. Independent rehabilitation budget, construction schedule and contingency analysis.
7. Approved operating plan and financial sustainability model.
8. Substantially final long-term operating/lease documentation and project development agreements.
9. Final sources-and-uses, capital stack, insurance/bonding and funding plan.
10. Applicable tax, securities, public-finance and regulatory review for the specific form of capital.
11. All required government/public approvals and authorized human signatures.
12. Definitive capital, escrow/draw, grant, loan, tax-credit or subscription documentation satisfactory to the Capital Provider.

6. Phased Funding and Draw Controls

The project does not presently contemplate requiring the full project capitalization to be funded into one unrestricted account at inception. Definitive documents are expected to use phased commitments, capital calls and/or draw mechanics tied to defined project gates, certified work, budget compliance and required professional/government approvals.

Field	Entry
Commitment amount	\$ _____
Initial funded amount	\$ _____
Conditional / unfunded amount	\$ _____
Target first funding date	_____
Expiration / outside date	_____

7. Benchmark Program Acknowledgment

The Capital Provider acknowledges that PPT-EZ-CA-0001 is intended to function as a reference transaction and measurement program. The project has programmed target baselines for transaction time, human coordination, frictional cost, cost of money, technology utilization and third-party service dependency. Those targets are hypotheses to be measured and are not guaranteed savings or returns.

Programmed Benchmark Objectives

These are target baselines the project is deliberately designing toward. They are not historical results, forecasts, guarantees, or representations of achieved savings. Each project is intended to measure actual performance against the same categories and publish variance from baseline.

Metric	Working baseline	Programmed goal	Measurement	Status
End-to-end transaction timeline	12 months working legacy baseline	2 months target	Elapsed days from defined start gate to defined closing/activation gate	TARGET
Human coordination labor	14,000 hours working baseline	3,000 hours target	Time-tracked legal/admin/project routing hours	TARGET
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoiced and internal labor cost	TARGET
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Escrow/title/settlement/underwriting invoices	TARGET
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Audit, reporting and compliance coordination cost	TARGET
Holding / capital drag	\$8.25M baseline	\$1.375M target	Interest reserve, security, insurance, delay and carry costs	TARGET
Total frictional cost	\$11.9475M baseline	\$2.434M target	Defined cost taxonomy applied consistently across projects	TARGET
Modeled friction reduction	\$9.5135M / 79.6%	Benchmark goal	Measured only after project completion	TARGET
Cost of money	TBD matched conventional financing	Reduce risk premium / fees / carry	Compare spreads, fees, reserves and effective annualized cost	MEASURE
Third-party systems / agents	TBD at baseline mapping	Minimize duplicated state + unnecessary calls	Count systems, integrations, model calls and manual reconciliations	MEASURE

Internal ranking: each PPT project may receive a Commons Performance Benchmark score after measurement. This is an internal operational benchmark, not a credit rating, investment rating or government certification.

8. Reporting and Transparency

- The project intends to maintain auditable records of material approvals, commitments, capital calls, disbursements, construction milestones, authority credentials and supporting evidence.
- TitleChain/M5 may organize cryptographic evidence and state transitions, but legally required government records, bank/escrow records, tax records and professional certifications remain authoritative in accordance with applicable law.
- Capital Provider reporting rights will be defined in definitive documents and may include budget-to-actual reporting, milestone certification, risk updates and benchmark performance.

9. No Guarantee of Tax Benefits or Returns

No tax credit, tax benefit, grant treatment, investment return, repayment, liquidity event, exit timing, community distribution or cost reduction is guaranteed by this letter. Any HTC, NMTC, PRI, debt, equity or other structure will be documented separately after tax, securities and project counsel review.

10. Binding / Non-Binding Effect

Unless specifically completed and initialed below, this letter is a non-binding indication of conditional capital interest and does not create an obligation to fund. If the parties elect a binding commitment, counsel should identify the binding provisions and attach the agreed conditions, remedies, deposit/escrow terms and governing law.

Provision	Treatment
Confidentiality	☐ Binding ☐ Non-binding ☐ Separate NDA
Publicity / use of name	☐ Binding ☐ Non-binding
Expense responsibility	Each party bears its own expenses unless otherwise agreed.
Governing law	TBD by counsel
Other binding terms	_____

11. Signatures

CAPITAL PROVIDER

Entity: _____
 By: _____
 Name / Title: _____
 Signature: _____
 Date: _____

PROJECT REPRESENTATIVE

Entity: _____
 By: _____
 Name / Title: _____
 Signature: _____
 Date: _____

Selected Source Notes

- Project feasibility source: 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026.
- GSA: U.S. Courthouse, 312 N. Spring Street, Los Angeles; federal historic-building profile and disposition materials.
- 40 U.S.C. § 550(h): Historic monument conveyances may be made without monetary consideration to eligible state/local public entities, subject to statutory conditions.
- National Park Service, Historic Surplus Property Program: private/not-for-profit organizations cannot directly acquire under the program but may enter long-term leases with public recipients; NPS reviews leases and rehabilitation standards.
- IRS Section 47 / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; long-term lessee rules require tax counsel analysis.
- CDFI Fund, New Markets Tax Credit Program: qualifying investors receive a credit totaling 39% of the qualified equity investment over seven years through certified CDE structures.
- USPTO / patent records: U.S. Patent Nos. 11,720,888 and 12,518,273, Decentralized title transfer and validation of assets.

M5Canon v0.2 Updates

M5Canon Funding-Gate Conditions

- A digital milestone, oracle result, Jev score or smart-contract state may make a draw eligible for review but may not independently release project capital. Funding requires the approvals and settlement controls specified in the definitive escrow and draw documents.

- Capital providers acknowledge the separation between fee title, leasehold rights, CER control, Article 9 collateral rights and securities interests. None arises solely because a TitleChain object, wallet or token exists.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.